

THE FORTNIGHTLY DIGEST · 01-15 MAY 2026

Housing Finance *Intelligence.*

CONTENTS

01	At a Glance	02
02	Industry Pulse	03
03	Regulatory Watch	04
04	Competitor · Growth & Strategy	05
05	Competitor · Funding & Capital	06
06	Competitor · Risk & Governance	07
07	Competitor · Operational Signals	08
08	Key Takeaways	09

The fortnight, in three frames.

A scannable read across the three vectors this digest tracks. Detail follows in the body of the report.

01 Industry

Corporate bond yields softened, supporting a return of NBFC primary issuance with planned debt sales of about **₹15,000 crore**.

Home-loan pricing remained highly competitive, with advertised starting rates around **7.15%** across several lenders.

Shubham Housing Finance initiated talks for a **~₹2,000-crore** IPO amid improved valuations and easing funding conditions.

02 Regulatory

RBI penalised Hinduja Housing Finance for KYC and governance lapses.

Housing financiers face higher supervisory expectations on customer due diligence, documentation, and board-level oversight, raising the cost of weak controls.

RBI cancelled registrations of 150 NBFCs and noted further voluntary surrenders.

The NBFC ecosystem is being pruned, increasing compliance pressure on smaller entities and potentially shifting borrowers and talent toward better-governed lenders.

03 Competitor

LIC Housing Finance

Reported Q4 net profit up **9.4%** to **₹1,497 cr** and recommended a ₹10 FY26 dividend.

Home First Finance

Reported Q4 profit up **43%** to **₹150 cr** with ~25% AUM growth and stable asset quality.

Indiabulls Housing Finance

IHC completed its investment and open offer, becoming promoter and controlling shareholder of **Sammaan Capital**.

Funding loosens. Pricing stays tight.

Funding conditions for Indian NBFCs improved as corporate bond yields eased, supporting a pickup in primary issuance. Mortgage pricing stayed aggressive with starting rates near 7.15%, while listed housing lenders reported strong profits on lower credit costs amid steady affordable-housing demand.

◆ FUNDING

01

Corporate bond yields softened, NBFC primary issuance returns

Corporate bond yields softened, supporting a return of NBFC primary issuance with planned debt sales of about ₹15,000 crore.

IMPACT

Lower marginal borrowing costs can improve NIM resilience and enable HFCs to fund growth without over-relying on bank lines.

WHY IT MATTERS

Treasury teams should lock in tenor and diversify investor pools while spreads are supportive, before volatility returns.

◆ PRICING

02

Home-loan pricing remained highly competitive near 7.15%

Home-loan pricing remained highly competitive, with advertised starting rates around 7.15% across several lenders.

IMPACT

Tighter spreads increase pressure on operating efficiency and cross-sell to protect profitability in prime and near-prime segments.

WHY IT MATTERS

Leadership teams should sharpen risk-based pricing and channel mix to avoid adverse selection while defending market share.

◆ CAPITAL MARKETS

03

Shubham Housing Finance initiated IPO talks for ~₹2,000 cr

Shubham Housing Finance initiated talks for a ~₹2,000-crore IPO amid improved valuations and easing funding conditions.

IMPACT

A successful listing could reset valuation benchmarks for specialised affordable-housing lenders and broaden equity funding options.

WHY IT MATTERS

Peers should prepare clearer growth-to-profit narratives and governance readiness as public-market scrutiny on HFCs rises.

An active supervisory hand — KYC, governance, and clean-up.

The RBI moved on two fronts during the fortnight: a monetary penalty on Hinduja Housing for KYC and governance lapses, and the cancellation of 150 NBFC registrations alongside further voluntary surrenders. Read together, they raise the cost of weak controls and shrink the regulated perimeter.

◆ ENFORCEMENT

01

RBI imposed a monetary penalty on Hinduja Housing Finance

RBI imposed a monetary penalty on **Hinduja Housing Finance Ltd** for regulatory non-compliance related to **KYC and governance**.

IMPACT

Housing financiers face higher supervisory expectations on customer due diligence, documentation, and board-level oversight, raising the cost of weak controls.

WHY IT MATTERS

Enforcement actions can quickly become a reputational and funding handicap, so lenders should accelerate KYC remediation, audits, and exception reporting.

◆ SUPERVISORY CLEAN-UP

02

RBI cancelled the registrations of 150 NBFCs

RBI cancelled the registrations of **150 NBFCs** and reported that **7 others surrendered** their certificates.

IMPACT

The NBFC ecosystem is being pruned, increasing compliance pressure on smaller entities and potentially shifting borrowers and talent toward better-governed lenders.

WHY IT MATTERS

A tighter regulatory perimeter raises the bar for governance and reporting, making scale, audit readiness, and clean regulatory history more valuable.

Q4 prints come in strong. Guidance gets bolder.

Q4 earnings from listed peers were broadly constructive — LIC HFL and Home First posted clean prints, ABC group profitability lifted ABHFL’s back-cover, and Cholamandalam guided to 20%+ growth. Indiabulls / Sammaan continued reshaping its corporate scaffolding.

LIC Housing Finance

EARNINGS

Q4 net profit up 9.4% to ₹1,497 cr; recommended a ₹10 FY26 dividend.

Lower provisions drove earnings strength, supporting internal capital generation and shareholder payouts. Competitors will watch whether the company sustains growth while keeping credit costs contained in a price-competitive market.

Home First Finance

EARNINGS

Q4 profit up 43% to ₹150 cr, with ~25% AUM growth and stable asset quality.

The combination of rapid AUM expansion and steady portfolio metrics signals continued momentum in the retail affordable segment. Peers may face sharper competition in salaried and self-employed catchments where underwriting speed and collections discipline differentiate outcomes.

Aditya Birla Housing Finance

EARNINGS

Aditya Birla Capital Q4FY26 consolidated net profit up 31% to ₹1,129 cr, including housing finance.

Stronger group profitability can support investment capacity across distribution, analytics, and funding diversification for the housing finance business. The market will track whether the group uses this strength to accelerate secured retail growth without loosening credit filters.

Cholamandalam Investment & Finance

GUIDANCE

Guided for 20–23% AUM growth in FY27; Q1 2026 disbursements up 25% YoY.

Guidance implies continued appetite to grow through cycles, which can intensify competition for high-quality secured retail customers. Housing lenders should expect more aggressive channel engagement and faster turnaround benchmarks from diversified NBFCs.

Indiabulls Housing Finance

CORPORATE ACTION

Updated the previously approved **demerger** and restructuring scheme of arrangement.

Restructuring can reshape business focus and investor perception, affecting funding access and counterparty confidence. Competitors should monitor whether the post-reorg entity changes risk appetite or pricing in specific borrower segments.

A wave of NCDs. One control change closes.

Most peers tapped the bond market through the fortnight, taking advantage of the softer yields. IHC closed its takeover of **Sammaan Capital**, formally beginning a new chapter at the former Indiabulls.

Indiabulls Housing Finance • Sammaan Capital

CONTROL CHANGE

IHC completed its investment and open offer, becoming promoter and controlling shareholder of **Sammaan Capital**.

A new controlling shareholder can alter capital allocation, governance posture, and funding strategy, with potential implications for liability costs. The sector will watch for changes in portfolio mix and any acceleration in balance-sheet clean-up or growth.

Tata Capital Housing Finance NCD ALLOTMENT

Allotted non-convertible debentures.

NCD issuance adds incremental funding headroom and can help manage ALM by extending maturities. Regular market access also signals stable investor appetite for higher-quality housing finance credits.

Bajaj Finserv Home Loans PRIVATE PLACEMENT

Allotted secured redeemable NCDs via private placement.

Private placements can provide quick, flexible funding to support disbursement momentum. Competitors may see continued pricing pressure if well-funded lenders push for share in prime home loans.

Shriram Housing Finance PRIVATE PLACEMENT

Allotted NCDs on a private placement basis.

Incremental debt funding supports growth in affordable and mass-market segments where ticket sizes are smaller but operational intensity is higher. The market will track whether funding costs remain contained as the company scales.

Aditya Birla Housing Finance NCD ALLOTMENT

Allotted non-convertible debentures.

Additional bond funding can diversify liabilities beyond bank borrowings and support competitive pricing. The key watch is whether the company uses the headroom to expand in higher-yield segments while maintaining underwriting discipline.

Cholamandalam Investment & Finance LISTED NCD

Confirmed allotment of **50,000 units** of secured listed redeemable rated NCDs on 5 May 2026.

Listed NCD issuance reinforces access to capital markets at scale, supporting sustained AUM growth targets. Housing lenders should anticipate stronger competitive intensity from diversified NBFCs with reliable bond-market funding.

Group governance + ratings: small moves, real consequences.

Two governance-adjacent items this fortnight: the RBI greenlit HDFC Bank's strategic equity moves in ICICI and Kotak Mahindra, and Aditya Birla Housing Finance received a credit rating update. In a 7.15% pricing environment, neither is a footnote.

HDFC Bank

REGULATORY APPROVAL

RBI approved HDFC Bank's investment in ICICI Bank and Kotak Mahindra Bank.

Regulatory approval supports strategic flexibility and signals supervisory comfort with the bank's governance posture. For housing finance, it reduces uncertainty around group-level oversight and continuity in mortgage distribution partnerships, which matters for co-lending and

channel arrangements where HDFC Bank is a counterparty. Peers should track whether the resulting strategic flexibility translates into a more aggressive stance on retail mortgage acquisition or distribution-side investment.

Aditya Birla Housing Finance

CREDIT RATING

Received a credit rating update.

Rating actions influence marginal borrowing costs and investor limits for NCD and securitisation funding. In a tight pricing environment, even small funding-cost moves can affect competitiveness in prime and near-prime mortgages,

where 5–10 bps decides which lender wins the sourcing partner. Treasury and capital-markets teams across peers will compare the rationale and outlook commentary closely, since the same logic applies to their own funding stacks.

A busy fortnight for the C-suite.

COO additions, CBO transitions, independent-director onboarding and a notable loss at LIC HFL — the leadership table shifted across half a dozen peers.

LIC Housing Finance

COO · APPOINTMENT

Appointed **Sandeep Kumar** as Chief Operating Officer, effective 13 May 2026.

A COO appointment can tighten execution across sales, operations, and collections at scale. The market will watch for changes in turnaround times, cost discipline, and branch productivity as competition stays price-led.

LIC Housing Finance

IN MEMORIAM

Dr. Sanjay Dayal passed away, effective 9 May 2026.

Leadership transitions can temporarily slow decision-making and execution cadence. Investors and counterparties typically look for clear succession clarity and continuity in risk controls.

Aavas Financiers

CBO · EXIT

Chief Business Officer **Selvin Uthaman** resigned, effective 1 May 2026.

A senior business exit can affect near-term distribution momentum and field execution in affordable housing finance. Competitors may attempt to capture share in overlapping micro-markets during the transition.

Home First Finance

BOARD · INDEPENDENT DIRECTOR

Appointed **Geeta Dutta Goel** as Non-Executive Independent Director, effective 1 Nov 2026.

Board refresh can strengthen oversight as the company scales and faces tighter supervisory expectations. Independent director additions often precede sharper focus on audit, risk, and governance committees.

Home First Finance

BOARD · INDEPENDENT DIRECTOR

Appointed **Anuj Srivastava** as Non-Executive Independent Director, effective 1 Nov 2026.

Additional independent oversight can support governance resilience during high growth. Peers should expect continued investor emphasis on board depth and committee effectiveness in affordable HFCs.

Tata Capital Housing Finance

CBO · SYNDICATION

Moved **Sandeep Suhasaria** to CBO for Syndication, Structured Finance and Large Corporate, effective 11 May 2026.

A dedicated leadership role for syndication and structured finance can expand large-ticket origination and partnership-led sourcing. This may increase competition for developer and corporate-linked mortgage opportunities where structuring capability matters.

Three signals to carry into the next fortnight.

01 Funding window opens. Use it deliberately.

Easing bond yields are improving NBFC funding conditions, supporting renewed NCD issuance and growth capacity for housing lenders — but lock tenor and diversify investors before volatility returns.

02 Pricing discipline becomes a margin story.

Mortgage rates remain highly competitive near 7.15%, increasing the need for risk-based pricing and cost discipline to protect margins.

03 KYC & governance: non-negotiable.

RBI enforcement and NBFC clean-up actions are raising the compliance bar, making KYC and governance investments non-negotiable.

PREPARED BY

Strategy & Market
Intelligence Desk
PNB Housing Finance
Limited

DISTRIBUTION

Managing Director & CEO
National Heads ·
Executive Committee

CLASSIFICATION

Internal · Strategic
Not for external
circulation

NEXT EDITION

Fortnight ending
31 May 2026